

complaint

Mr K has complained about the decision made by UK Insurance Limited ("UKI") to decline a claim for escape of water at his rental property.

background

The circumstances of this complaint were set out in my provisional decision dated 14 November 2014, a copy of which is attached and forms part of this final decision. In that decision I explained why I was minded to uphold this complaint.

To summarise, Mr K's policy contained an exclusion which allowed UKI to refuse a claim for escape of water if the damage occurred whilst the property was unoccupied or not used for a period of more than 30 days. Although I accepted the escape of water was noticed 33 days after the property was last occupied by tenants, I was not persuaded that the loss actually occurred on this day. I thought it was more likely that the escape of water occurred before the 30 days had expired. I was therefore minded to require UKI to reconsider the claim.

I invited both parties to respond with any further submissions.

Mr K responded to say that although UKI paid him £24 for poor customer service, he did not cash this cheque and it has now expired.

UKI responded and disagreed with my provisional findings. It said Mr K had explained that the property had been viewed several times by prospective tenants over the 33 day period and there was no indication of water ingress in that time which would indicate a possible problem. It further said that the escape of water was due to a bath overflowing which was discovered on the date of occurrence, and therefore it considers the date of loss was 33 days after the property had been vacated - which would mean the exclusion should apply.

my findings

I have reconsidered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint. Having done so, I have not been persuaded to alter my provisional findings. I will explain why.

Mr K said the reason for the escape of water was an overflow problem with his neighbour's bath. When he notified UKI of the claim, he explained that his neighbour had turned off the water immediately and called a plumber. The problem was then fixed.

If the escape of water was the result of Mr K's neighbour forgetting to switch off the bath taps, then I would agree with UKI that the date of loss would likely be day 33. However, if this were the case then there would be little reason for a plumber to fix the problem – it would therefore seem that there was a leak with the bath overflow, and this could have occurred over several days before there was evidence of it in Mr K's property. As I said in my provisional decision, the collapse of the ceiling on day 34 would suggest that there had been ingress of water over several days. Consequently, I am still not persuaded that the damage occurred after the 30 day period and that it was reasonable for UKI to decline the claim.

my final decision

For the reasons set out above and contained in my provisional decision, my final decision is that I uphold this complaint. I require UK Insurance Limited to reconsider Mr K's claim in line with the remaining policy terms and conditions.

I also require UK Insurance Limited to pay Mr K £200 in recognition of the inconvenience he was caused by its handling of his claim. It should also reissue the cheque for £24 previously paid to Mr K.

Under the rules of the Financial Ombudsman Service, I am required to ask Mr K to accept or reject my decision before 19 January 2015.

Chantelle Hurn
ombudsman

COPY OF PROVISIONAL DECISION

complaint

Mr K has complained about the decision made by UK Insurance Limited ("UKI") to decline a claim for escape of water at his rental property.

background

In June 2014, a property owned by Mr K was damaged by escape of water from a neighbour's property. Mr K wanted to claim under his neighbour's insurance policy (also with UKI) for the repair costs, but UKI said he could not do so as there was no proof that the neighbour had been negligent in causing the leak, or that the neighbour had failed to attend to the leak in a timely manner.

Mr K therefore made a claim under his own policy, however this was declined by UKI on the basis that the policy excluded escape of water in a 'vacant or disused' property. The policy described this as being unoccupied, untenanted or not actively used for more than 30 consecutive days.

UKI noted that Mr K's previous tenants had moved out of the property 33 days before the escape of water was noticed and the property had not been actively used in that 33 day period. It therefore concluded that Mr K's property was vacant or disused at the time of loss and consequently his claim excluded under the policy.

Mr K complained about UKI's decision and said that he had visited the property regularly since his tenants had moved out – furthermore, his letting agent had conducted several viewings over the 33 day period. He therefore did not accept that the property was vacant or disused. UKI did not change its decision and so Mr K brought a complaint to this service.

Our adjudicator recommended the complaint be upheld. She thought that UKI had acted reasonably in refusing to consider the claim against Mr K's neighbour's policy. However, the adjudicator concluded that UKI should not have declined Mr K's claim under his own policy as she thought the damage would have likely been of a similar level even if the property had not been vacant or disused. She recommended that UKI reconsider the claim under the remaining terms of the policy.

UKI did not accept the adjudicator's recommendation and so the matter has been passed to me to consider afresh.

my provisional findings

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

claim against neighbour's policy

I wish to make it clear that I am only able to consider UKI's actions in its capacity as Mr K's insurer. I am not able to consider UKI's decision to refuse Mr K's claim in its capacity as his neighbour's insurer, when Mr K attempted to claim under his neighbour's policy as a third party.

escape of water claim

It is not in dispute that Mr K has suffered a loss that is usually covered under the terms of his policy. The issue for me to determine is whether it was reasonable for UKI to rely on an exclusion to decline his claim.

The policy states:

"We will Indemnify You in the event of Damage to the Property described by each Item in the Schedule caused by any of the following Contingencies..."

*6 Escape of Water from any tank apparatus, pipe or sprinkler installation but excluding Damage:
a to any portion of the Building which is Vacant or Disused..."*

'Vacant or disused' is defined within the policy as:

"Buildings or any part thereof that have become unoccupied, untenanted or which have not been actively used for a period of more than 30 consecutive days."

Mr K's tenants vacated the property and 33 days later the letting agent noticed water coming through the ceiling from the above property. The agent immediately notified Mr K and his neighbour and it transpired that the water had escaped as a result of an overflow problem in the neighbour's bathroom - which the neighbour then fixed. However, when Mr K visited his property the following day, the ceiling had collapsed.

The point to consider here is when the date of loss actually occurred. Although the letting agent first noticed the escape of water 33 days after the policy was vacated by the previous tenants, this does not necessarily mean that the escape of water began after the relevant 30 day period had expired. I consider it more likely that the escape of water began *before* the 30 days had expired. I say this because the collapse of the ceiling on day 34 suggests to me that there had been ingress of water over a number of days - it seems unlikely that the ceiling would collapse after only one day, particularly as Mr K's neighbour apparently immediately fixed the problem upon learning of the leak.

For UKI to rely upon the relevant exclusion, it must demonstrate that the escape of water occurred after the property had not been actively used for more than 30 days. However I am not satisfied that it has done so in this case, for the reasons given. I am therefore not persuaded the property suffered the damage after the 30 day period and so consequently, I am provisionally minded to conclude that it was not reasonable for UKI to decline Mr K's claim.

I note that Mr K was also unhappy about the level of customer service he received from an agent of UKI's when he initially made his claim - UKI paid him £24 compensation for this, which Mr K accepted. However it seems to me that UKI's later handling of Mr K's claim has caused him both upset and inconvenience. I intend to award additional compensation of £200 to reflect this.

my provisional decision

For the reasons set out above, my provisional decision is that I intend to uphold this complaint. I am minded to require UK Insurance Limited to reconsider Mr K's claim in line with the remaining policy terms and conditions.

I am also minded to require UK Insurance Limited to pay Mr K £200 in recognition of the inconvenience he was caused by its handling of his claim.

Chantelle Hurn
ombudsman